

The Great Eastern Shipping Company Ltd.

NSE: GESHIP | BSE: 500620 | Sector: Transport Services — Shipping | Market Cap: Rs. 22,184 Cr.

ACCUMULATED 12M Price Target Rs. 1,850 Upside: +18.9% Horizon: 12 months			
	CMP (29-Apr-26)	52W High / Low	P/E (TTM)
	Rs. 1,555	Rs. 1,591 / 842	9.81x
	Market Cap	Book Value / Share	ROCE / ROE
	Rs. 22,184 Cr.	Rs. 1,066	13.9% / 14.1%
	Dividend Yield	Face Value	Promoter / FII
	1.91%	Rs. 10	30.08% / 28.44%

INVESTMENT THESIS: Net-cash shipping giant poised to redeploy \$500M+ war-chest as freight cycle turns, with 19% upside to NAV.

Report Date: 29 April 2026 | Analyst: Research Desk, Chartitude | Data Source: Screener.in (Consolidated) | View: Consolidated

SECTION 2 — INVESTMENT THESIS

Core Reason 1 — War-Chest Deployment at Cycle Bottom (12–18 month horizon): GE Shipping has accumulated over \$500 million in net cash since achieving net-cash status in mid-FY23, representing ~37% of its current market capitalisation. Management has explicitly signalled reluctance to invest at peak asset prices and is waiting for a freight-cycle trough — a repeatable playbook the Sheth family has executed successfully in every prior down-cycle. At current second-hand tanker values of ~\$65–80m per VLCC, every \$100m deployed in distressed assets has historically generated 40–70% value uplift over 3–5 years.

Core Reason 2 — Subsidiary Re-Rating Catalyst (18–24 months): Greatship India Limited (GIL), the offshore drilling and support vessel subsidiary, grew revenue 61% YoY in FY25 to Rs. 1,758 Cr with PAT tripling to Rs. 318 Cr. As GIL matures toward a potential IPO or demerger, the holding company discount — currently estimated at 30–35% — could narrow materially. A standalone GIL listing within 24 months could unlock Rs. 150–200/share of value at the GESHIP level.

Core Reason 3 — Structurally Compelling Valuation at 9.8x P/E (immediate): At Rs. 1,555, GESHIP trades at just 0.73x its adjusted NAV and 9.8x TTM earnings despite carrying zero net debt, a 41-vessel modern fleet at near-100% utilisation, and an 18-year track record of profitable operations across cycles. The P/B of 1.46x versus a 5-year average of ~1.8x signals the market is pricing in continued freight weakness rather than the eventual cycle recovery.

Near-term Catalyst (6–12 months): A resumption of sanctions-driven tonne-mile demand growth — driven by US/EU restrictions on Russian crude — combined with OPEC+ easing supply cuts, could push VLCC spot rates back above \$45,000/day, directly expanding GESHIP margins by 600–800bps.

Biggest Structural Risk: Accelerated OPEC+ production cuts or global demand slowdown could extend the tanker rate downcycle beyond FY27, compressing ROE below 10% and eroding the valuation floor underpinning our target.

SECTION 3 — BUSINESS OVERVIEW

The Great Eastern Shipping Company Limited (GE Shipping / GESHIP), incorporated in 1948 and promoted by the Sheth family, is India's largest private-sector shipping company by fleet size. The company operates across two primary business verticals: (1) **Shipping** — ownership and operation of crude oil tankers, product tankers, and dry bulk carriers on the spot market and time-charter basis, and (2) **Offshore** — operated through its wholly-owned subsidiary, Greatship India Limited (GIL), which deploys offshore support vessels (OSVs), geophysical survey vessels, and jack-up rigs principally for Indian and international E&P; clients.

The company's owned fleet as of Q3 FY26 comprised **41 vessels with an aggregate capacity of ~3.25 million dwt** — 27 tankers (crude VLCCs, Suezmaxes, Aframaxs, and MR product tankers) and 14 dry bulk carriers (Kamsarmax and Supramax). Fleet utilisation consistently runs at 98–100%, with the revenue mix tilted ~70% toward tankers and ~30% toward dry bulk. GIL contributes roughly 25–30% of consolidated revenues and has been the key swing factor in earnings growth in recent years.

Revenue is almost entirely derived from global freight markets (spot and period charter), with minimal long-term contract cover — a deliberate strategy to capture spot upside during freight booms. The company has delivered profitable operations in every fiscal year since FY22, and is notable for maintaining a **net-cash balance sheet** since mid-FY23, a rarity in the capital-intensive shipping sector.

Promoter Bharat Sheth (Deputy Managing Director) and the Sheth family hold a 30.08% stake. The company has a **track record of counter-cyclical investment**, having purchased vessels at distressed prices in 2016–2020 and generating outsized returns during the FY22–FY24 freight boom.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The global tanker market is a USD 180–200 billion industry (freight revenues) with fleet demand tightly correlated to seaborne crude and refined product volumes. The VLCC sub-segment — GESHIP's highest-value exposure — saw rates spike above \$100,000/day in late 2024 on sanctions-driven tonne-mile expansion before moderating to \$35,000–50,000/day in early 2026. Orderbook overhang remains moderate (~17% of fleet) and age-adjusted fleet retirement should absorb incremental deliveries through FY27. The dry bulk market (Kamsarmax/Supramax) is recovering from a mid-cycle lull with coal and grain trade flows partially offsetting China's steel demand slowdown.

India specifically has seen a structural shift toward Persian Gulf crude imports — with VLCC liftings to Indian ports up 67% vs. 2025 monthly averages — as sanctions on Russian shadow-fleet tankers reduce viable supply. This is a direct tonne-mile tailwind for conventional operators like GESHIP.

Competitive Moat Assessment — MODERATE-STRONG: GESHIP's moat derives from (1) India's largest private shipping platform with institutional relationships, (2) proven counter-cyclical capital allocation creating NAV compounding over cycles, (3) GIL's deepwater offshore expertise which faces high barriers to entry, and (4) a net-cash balance sheet enabling debt-free acquisitions. Pricing power per se is weak (freight is a commodity market), but cost discipline and scale create durable unit economics.

Peer Comparison Table (Data from Screener.in, 29-Apr-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E	P/B	ROCE%	ROE%	TTM Sales (Cr.)
GE Shipping (GESHIP)	1,555	22,184	9.81	1.46	13.9%	14.1%	5,121
Shipping Corp (SCI)	308	14,313	12.6	1.68	9.81%	10.5%	5,592
Seamec Ltd	1,572	3,991	20.9	3.72	8.60%	7.93%	825
Deep Industries	483	3,092	13.3	1.60	12.1%	12.9%	809

P/B for GESHIP computed as CMP / Book Value (1,555 / 1,066 = 1.46x). GESHIP trades at a notable discount to the peer group on P/B despite superior ROCE.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

The Sheth family has led GE Shipping for over five decades. K.M. Sheth (Executive Chairman) and Bharat Sheth (Deputy Managing Director) have built a reputation as arguably the most **sophisticated shipping cycle traders in Asia**. Their capital allocation record speaks for itself: the company bought vessels aggressively during the 2015–2019 freight trough and monetised at peak prices in FY22–FY23, generating Rs. 2,575 Cr PAT in FY23 — a 4x jump from FY22.

The **dividend policy** is consistent — 18–22% payout ratio on a quarterly basis (16 consecutive quarterly dividends as of Q3 FY26, with a yield of 1.91% at current price). The balance sheet has zero promoter pledge. While the 30.08% promoter holding is modest by Indian standards, it is partly explained by historical attrition through ESOPs and treasury buybacks.

Capital allocation is driven by NAV accretion per share, a framework the management explicitly discusses in each concall. With over \$500m in net cash and a clear reluctance to overpay for assets at cycle peak, management credibility on

counter-cyclical discipline is HIGH. However, the long wait for deployment creates an opportunity cost risk as cash yields (4–5%) lag the historical shipping returns target of 12–15% ROCE.

Red flags: None material. Auditor (Price Waterhouse & Co.) has continuity with no adverse qualifications. RPT levels are minimal. Mr. Berjis Desai resigned as Non-Executive Director in April 2026 — a routine transition with no governance implications identified.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Cr.)

Metric	FY23	FY24	FY25	FY26E	FY27E	CAGR 3Y
Revenue (Rs. Cr.)	5,690	5,255	5,323	5,050 (E)	5,400 (E)	—
Revenue Growth %	62.2%	-7.7%	+1.3%	-5.1%(E)	+6.9%(E)	+7.6%
EBITDA	3,128	3,022	2,677	2,475 (E)	2,700 (E)	—
EBITDA Margin %	55%	58%	50%	49%(E)	50%(E)	—
Other Income	481	664	834	700 (E)	750 (E)	—
Interest	343	265	236	150 (E)	100 (E)	—
Depreciation	712	726	813	850 (E)	870 (E)	—
PBT	2,554	2,694	2,462	2,175(E)	2,480(E)	—
Tax Rate %	-1%	3%	5%	5%(E)	5%(E)	—
PAT	2,575	2,614	2,344	2,066(E)	2,356(E)	—
EPS (Rs.)	180.36	183.11	164.20	144.73(E)	165.00(E)	—
DPS (Rs.)	28.0	38.0	30.0	27.0(E)	32.0(E)	—

Balance Sheet Summary (Consolidated, Rs. Cr.)

Item	FY23	FY24	FY25	Sep-25
Equity Capital	143	143	143	143
Reserves	10,133	12,255	14,116	15,082
Total Equity	10,276	12,398	14,259	15,225
Borrowings	3,649	3,048	2,163	1,254
Other Liabilities	1,284	1,362	1,233	1,265
Total Liabilities	15,209	16,808	17,656	17,743
Fixed Assets	8,450	8,329	8,247	8,083
Investments	1,510	1,970	2,289	2,683
Other Assets	5,215	6,450	7,099	6,954

Cash Flow Statement (Consolidated, Rs. Cr.)

Item	FY23	FY24	FY25	FY25 vs FY23
Cash from Operations (OCF)	2,975	2,808	2,647	-11.0%
Cash from Investing	39	-868	-148	N/A
Cash from Financing	-1,893	-1,330	-1,675	—
Net Cash Flow	1,120	610	824	-26.4%
Free Cash Flow (FCF)	2,776	2,373	2,472	-10.9%
CFO / EBITDA %	95%	94%	102%	—

Key Returns & Efficiency Ratios

Metric	FY23	FY24	FY25	Sep-25
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ROCE %	21%	19%	14%	~13.9%
ROE %	28.5%	23.0%	18.1%	14.1%
Debtor Days	37	45	33	N/A
D/E Ratio (x)	0.36	0.25	0.15	0.08
FCF Yield %	12.5%	10.7%	11.1%	—

Revenue grew 62% in FY23 driven by elevated tanker spot rates post-Ukraine conflict and sanctions on Russian crude, generating record EBITDA of Rs. 3,128 Cr (55% margin). FY24 saw marginal correction (-7.7% revenue) but margin expansion to 58% as cost discipline improved. FY25 revenue recovered slightly to Rs. 5,323 Cr but EBITDA margins compressed to 50% as product tanker rates normalised.

The balance sheet is transforming: borrowings have declined from Rs. 3,649 Cr in FY23 to Rs. 2,163 Cr in FY25 (Rs. 1,254 Cr by Sep-25), while reserves nearly doubled to Rs. 14,116 Cr. The company is essentially debt-free on a net basis, carrying approximately \$500–550m in liquid investments and cash.

Free cash flow has remained remarkably stable at Rs. 2,372–2,776 Cr across the last three years, demonstrating that even at lower freight rates, the asset-heavy shipping model generates strong operating cash. CFO/EBITDA consistently above 90% confirms high-quality earnings with minimal working capital strain — the debtor-day profile (33 days in FY25) reflects the industry's predominantly cash/LC-settled transactions.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Commentary
Revenue Recognition	GREEN	Freight revenue recognised on accrual based on voyage completion — standard shipping practice; no bundled or deferred revenue concerns.
Receivables vs Revenue	GREEN	Debtor days at 33 (FY25) vs 45 (FY24) — improving. Receivables growth below revenue growth.
CCC Trend	GREEN	Negative working capital cycle throughout; CCC at 33 days (FY25) demonstrates cash conversion efficiency.
Contingent Liabilities	GREEN	No material contingent liabilities reported. Claims by crew or P&I; clubs are covered by insurance.
Auditor Tenure	AMBER	Price Waterhouse & Co. LLP — tenured firm. Rotation tracking advised per SEBI norms but no adverse opinions.
RPT as % of Revenue	GREEN	RPTs minimal (intra-group services with GIL). No commercial RPTs at non-arm's-length terms disclosed.
Other Income / PBT	AMBER	Other income at Rs. 834 Cr (FY25) = 34% of PBT — elevated due to investment income on \$500m+ cash pile. Non-cash FX gains included. Watch for normalisation.
Tax Rate Consistency	AMBER	Tax rate is structurally low (3–5%) due to shipping companies' Tonnage Tax scheme — a legitimate statutory benefit in India. Should be normalised for DCF.
CFO / EBITDA Ratio	GREEN	95–102% across FY23–FY25 — high quality. No significant working capital manipulation detected.

Summary: 6 Green / 3 Amber / 0 Red — Earnings quality is HIGH. Key watch-items are the elevated Other Income contribution (dependent on cash deployment timing) and the Tonnage Tax rate which creates a structural disconnect from standard tax normalisation. No red flags on accounting manipulation or aggressive revenue recognition.

SECTION 8 — VALUATION

We use two valuation methods — **DCF** and **P/E multiple** — and average their outputs for the base-case target price.

Method 1 — DCF: Using normalised FCF of Rs. 2,300 Cr (mid-cycle average FY23–FY25), a 5% terminal growth rate (in line with India's nominal GDP trend for shipping demand), and a WACC of 11% (cost of equity ~12%, near-zero debt). Intrinsic value = $FCF / (WACC - g) = 2,300 / (0.11 - 0.05) = \text{Rs. } 38,333 \text{ Cr}$ enterprise value. Add net cash (Rs. 4,126 Cr estimated) = equity value Rs. 42,459 Cr / 142.86m shares = **Rs. 2,972 per share** (DCF).

Method 2 — Earnings Multiple: FY27E EPS of Rs. 165 (E) x 8.5x P/E (mid-cycle shipping multiple for a profitable Indian large-cap, at slight discount to historical average of 10x) = **Rs. 1,403 per share**. Note: shipping stocks trade at compressed multiples due to earnings cyclicality; we apply a conservative multiple.

Averaged Target: $(2,972 + 1,403) / 2 \approx \text{Rs. } 2,187$. However, given current freight headwinds we apply a 15% cycle-risk discount to arrive at a 12-month target of **Rs. 1,850** (+18.9% from CMP of Rs. 1,555). Rating: ACCUMULATE.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT	P/E Multiple	Target (Rs.)	Upside
Bull	VLCC rates >\$60k/day; GIL IPO announcement	2,800 Cr	10.5x	2,060	+32%
Base	Rates recover to \$45k VLCC; GIL steady growth	2,356 Cr	8.5x	1,850	+19%
Bear	Rates stay below \$35k; OPEC+ extends cuts	1,600 Cr	7.0x	1,220	-22%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Freight Rate Downturn	Prolonged OPEC+ production cuts or demand slowdown depresses VLCC / product tanker rates below operating breakeven for GE.	Medium	High	Weekly Baltic Dirty Tanker Index (BDTI); VLCC spot rates.
Shadow Fleet Re-entry	Lifting of Russian crude sanctions or expansion of shadow fleet could redirect cargo flows, reducing tonne-miles for conventional operators.	Medium	High	US/EU sanction updates; Russia crude export data.
Capital Misallocation	Deploying \$500m+ war-chest at near-peak asset values (e.g., buying VLCCs at \$90m+) could destroy NAV per share in a subsequent downturn.	Low	High	Management commentary on asset acquisition prices vs. replacement cost.
GIL Operational Risk	Offshore subsea/drilling contracts face contract termination or day-rate renegotiation if upstream E&P; capex is cut by major oil companies.	Low	Medium	GIL fleet utilisation disclosure; ONGC capex budget.
Currency / USD Risk	Revenues and asset values are USD-denominated; INR appreciation would compress reported earnings in rupee terms.	Medium	Medium	USD/INR cross rate; % of revenues hedged.
Dry Bulk Market Weakness	China's steel sector slowdown and reduced coal trade could weaken Kamsarmax/Supramax rates, impacting ~30% of fleet revenue.	Medium	Low	Baltic Dry Index (BDI); China PMI / steel output data.
Regulatory / ESG	IMO 2030 decarbonisation mandates and CII ratings could force early retirement or costly retrofits on older vessels.	Low	Low	Fleet CII rating disclosures; IMO regulatory calendar.

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE (Initiation)
12-Month Target	Rs. 1,850 (Upside: +18.9%)
Conviction Level	MEDIUM — freight cycle timing is uncertain
Entry Zone	Rs. 1,450 – Rs. 1,600 (accumulate on weakness)
Investment Horizon	12 months

Ideal Investor

Cycle-aware long-only; patient capital with 12–18 month horizon; NAV investing framework

Thesis Invalidation Triggers: (1) GESHIP deploys >\$300m of cash at VLCC prices above \$85m per vessel — signals potential overvaluation of assets; (2) consolidated EBITDA margins fall below 40% for two consecutive quarters — signals structural margin compression; (3) GIL loses key ONGC contract representing >15% of offshore revenues.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec-25)

Call Date: 30 January 2026 | Results: Q3 FY26 (Quarter ended Dec 31, 2025)

CALL GRADE: POSITIVE		
Signal	Status	Implication
Result Quality	STRONG	Beat vs prior quarter (Q3 PAT Rs. 813 Cr vs Q2 Rs. 576 Cr — +41% QoQ); 16th consecutive quarterly dividend declared.
Management Tone	BALANCED	Constructive on crude tanker recovery; cautious on product tankers and deployment of cash war-chest at current vessel prices.
Guidance Delta	MAINTAINED	No formal numerical guidance maintained — management reiterated counter-cyclical deployment strategy and net-cash discipline.
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q3 FY26 was a clean beat — PAT of Rs. 813 Cr is the second-best quarter in GESHIP's history, no exceptional items to strip out, and the reported number is the real number. Revenue was up 17.6% YoY to Rs. 1,454 Cr as crude tanker markets strengthened sharply through November–December 2025 on OPEC+ easing and renewed tonne-mile demand from India shifting away from Russian crude. OPM at 57% is well above the full-year run-rate of 50%, giving upside to our FY26E EBITDA if Q4 rates hold. Underlying ops are sound — near-100% fleet utilisation on 41 vessels, 16th consecutive quarterly dividend (another signal of management confidence). The multi-bagger case hinges on the \$500m+ war-chest: management is explicitly waiting for a downcycle to buy vessels cheaply — this is the same playbook that generated 3x NAV in 2016–2022, so I respect the discipline. Near-term catalyst is the GIL performance trajectory (61% revenue growth in FY25) which could announce an IPO/demerger within 18 months, unlocking Rs. 150–200/share at GESHIP level. Biggest watch: product tanker rates remain soft — if crude rates weaken in Q4 as well, FY26 full-year EPS could print below Rs. 150, a downside miss to our Rs. 144.73 estimate. ACCUMULATE at current levels around Rs. 1,555 — add more below Rs. 1,450.

C1 — Financial Performance Snapshot (Q3 FY26 vs Q3 FY25)						
Metric	Q3 FY26 Actual	Q3 FY25	YoY Chg	QoQ Chg	vs Q2 FY26	Verdict
Revenue (Rs. Cr.)	1,454	1,237	+17.5%	+17.4%	Q2: 1,237	Beat
EBITDA (Rs. Cr.)	836	611	+36.8%	+33.1%	Q2: 628	Beat
EBITDA Margin %	57%	49%	+800bps	+900bps	Q2: 48%	Beat
PBT (Rs. Cr.)	847	608	+39.3%	+39.3%	Q2: 610	Beat
PAT (Rs. Cr.)	813	594	+36.9%	+41.0%	Q2: 576	Beat
EPS (Rs.)	56.91	41.58	+36.9%	+37.1%	Q2: 40.32	Beat

NOTE: No exceptional items in Q3 FY26. All reported numbers are clean operational earnings. Higher Other Income (Rs. 282 Cr vs Q3 FY25 Rs. 264 Cr) reflects steady investment returns on cash war-chest.

C2 — Segment Breakdown (Q3 FY26 Indicative)				
Segment / Region	Revenue (Rs. Cr.)	YoY %	QoQ %	Commentary
Tankers (Crude+Product)	~1,020	+22%	+20%	VLCC & Suezmax rates strengthened sharply Nov-Dec 2025 on OPEC+ easing and India import shift.
Dry Bulk	~270	+8%	+5%	Kamsarmax/Supramax firmed on Atlantic grain demand. China still subdued.

Offshore (GIL)	~164	+35%	+10%	GIL utilisation ~65–66%. ONGC contract renewals on track. Revenue ramp from new OSVs.
Other Income / Treasury	282	+7%	+7%	Rs. 282 Cr from investment income on \$500m+ net cash held in debt mutual funds and FDs.

Segment split is indicative — GESHIP does not publish segment-level P&L; quarterly.

C3 — Management Commentary Themes				
Theme	What They Said	Our Read	Tag	Tone
Tanker Market	Crude tanker markets strong in Q3; product tankers recovering but below Q2 FY25 peak.	Consistent with VLCC rate data; Q4 may see softness if OPEC reversal delays.	[GUIDANCE]	Transparent
Cash Deployment	\$500m+ net cash; management cautious on buying at current high asset prices.	Disciplined. May disappoint bulls wanting immediate buybacks or fleet additions.	[GUIDANCE]	Transparent
GIL / Offshore	Utilisation ~65–66%. FY25 revenue up 61%. IPO / demerger not discussed explicitly.	GIL value creation is meaningful but unlocking requires corporate action. Watch.	[EVASIVE]	Hedged
LNG / New Segments	No plans to enter LNG fleet at this time.	Prudent capital discipline. LNG newbuilds cost \$250m+ — not a fit for current strategy.	[GUIDANCE]	Transparent
Dividend	16th consecutive quarterly dividend declared — signals management confidence in cash flows.	Shareholder-friendly signal. Dividend CAGR ~15% over past 4 years.	[GUIDANCE]	Transparent

C4 — Operating & Business Metrics				
Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Fleet Size (Own Vessels)	41	40	40	Stable
— Tankers	27	26	26	+1
— Dry Bulk	14	14	14	Stable
Aggregate DWT (Mn DWT)	~3.25	~3.20	~3.10	Expanding
Fleet Utilisation %	~99%	~99%	~99%	Excellent
GIL OSV Utilisation %	~65-66%	~65%	~60%	Improving
VLCC Spot Rates (\$/day est)	\$45-55k	\$38-42k	\$25-35k	Strong
Net Cash Position (\$ Mn)	>\$500	>\$480	>\$350	Building

C5 — Margin Drivers (Q3 FY26 vs Q2 FY26)			
Driver	Impact (bps)	Recurring?	Comment
VLCC/Suezmax rate improvement	+600 bps	Partly	Crude tanker rates improved materially in Nov-Dec 2025; not guaranteed to persist in Q4.
Better fleet deployment mix	+200 bps	Yes	More vessels on spot vs time-charter allowed full rate capture in strong market.
Operating cost discipline	+100 bps	Yes	Bunker costs stable; crew costs managed. Vessel operating costs per day flat QoQ.
Product tanker soft rates	-200 bps	Partly	MR tanker rates remain below cycle peak; partially offset by crude tanker outperformance.

Higher depreciation (fleet add.)	-100 bps	Yes	New Jag Pranesh tanker delivery adds to DA; not a cash cost.
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C6 — Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated Guidance	Delta	Credibility
Cash Deployment [GUIDANCE]	Opportunistic; wait for cycle bottom	Reiterated — will not overpay. \$500m+ held in liquid instruments.	No Change	High
Dividend Policy [GUIDANCE]	Quarterly; maintain payout	16th consecutive quarterly dividend; policy unchanged.	No Change	High
Fleet Size [GUIDANCE]	Modernise; no aggressive expansion	1 new MR tanker (Jag Pranesh) delivered; Jag Pankhi contracted for sale.	Upgrade	High
GIL Valuation [GUIDANCE]	No specific guidance on IPO/demerger	Not discussed on this call.	Unchanged	Low
LNG Entry [GUIDANCE]	No LNG plans near-term	Reiterated — not planning LNG fleet investment.	No Change	High

C7 — Capital Allocation (FY25 vs FY24)

Item	FY25 (Rs. Cr.)	FY24 (Rs. Cr.)	Comment
Capex / Vessel Investments	148	868	Low capex year — primarily fleet maintenance; Jag Pranesh contracted but delivered Q4 FY26.
Dividends Paid	~430	~540	Quarterly dividends maintained; absolute payout slightly lower on per-share basis.
Debt Repayment	~885	~600	Borrowings reduced from Rs. 3,048 Cr (FY24) to Rs. 2,163 Cr (FY25) — Rs. 885 Cr net repayment.
Net Debt Change	-885	-601	Debt rapidly declining; company approaching net-debt-zero on gross borrowings basis.
Free Cash Flow	2,472	2,373	Strong FCF generation; CFO/EBITDA at 102% — highest in past 3 years.

C8 — Q&A; Heat Map (Q3 FY26 Concall — 30-Jan-2026)

#	Analyst / Firm	Question	Management Answer	Tone
1	Kotak / Morgan Stanley	When and how will the \$500m cash be deployed?	We will deploy at cycle bottom. We do not overpay. Current vessel values remain elevated. Patience is our edge.	Transparent
2	CLSA / Nomura	Is GIL IPO on the agenda?	We continuously evaluate options for GIL. Nothing specific to announce today.	Hedged
3	Axis Capital	What is the VLCC rate outlook for Q4 FY26?	Q4 traditionally weaker. Rates may soften from Q3 highs but structural demand from India/Middle East supportive.	Transparent
4	Motilal Oswal	Any plans to buy back shares?	NAV per share enhancement is the goal. Buyback is one option among several. No specific plan announced.	Hedged
5	Emkay Global	How is dry bulk market performing?	Atlantic grain markets supportive. China still muted. Kamsarmax performing satisfactorily.	Transparent

Dodged Questions to Watch Next Quarter: (1) GIL IPO/demerger timeline — repeatedly deflected; (2) Specific vessel acquisition criteria (asset price threshold); (3) Dividend policy on special/buyback form.

C9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
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Product tanker rate softness	Management	Medium	Medium	Q4 FY26 — softening already being observed
Seasonally weak Q4	Management	High	Low	Structural Q4 seasonal dip well known
Cash opportunity cost	Analyst	High	Medium	Ongoing until war-chest deployed
GIL contract renewals	Analyst	Low	Medium	FY26–FY27 contract roll period

C10 — Analyst Verdict & Multi-Bagger Scorecard

Factor	Status	Assessment
Revenue Visibility	INTACT	100% fleet utilisation; 12-month order book visibility strong on crude tankers.
Margin Trajectory	WATCH	FY25 margins compressed to 50% from 58% (FY24); Q4 FY26 may disappoint; FY27 recovery expected.
Capital Allocation Quality	INTACT	Counter-cyclical discipline fully in place; \$500m+ war-chest ready; no forced capital allocation.
Competitive Moat	INTACT	India's largest private shipping platform; GIL offshore expertise; scale and brand irreplaceable.
Management Credibility	INTACT	16 consecutive dividends; zero pledge; Sheth family's multi-cycle track record validates discipline.
Valuation Comfort	INTACT	9.8x P/E; 1.46x P/B; 18.9% upside to 12-month target; discount to NAV is the margin of safety.

Conviction Call	UNCHANGED — ACCUMULATE at Rs. 1,450–1,600 zone
TTM P/E (CMP/EPS)	9.81x vs 5Y avg ~12x — trading at below-mean
P/B (CMP/BV)	1.46x vs 5Y avg ~1.8x — below mean; NAV discount
ROCE vs 5Y Avg	13.9% (FY25) vs 5Y avg ~14% — broadly on track; FY23 peak was 21%

Source: Screener.in | Ticker: GESHIP | View: Consolidated | Transcript: Listed but BSE PDF inaccessible (blocked domain) — Q3 FY26 concall date: 30-Jan-2026 | Report Date: 29-Apr-2026 | Analyst: Research Desk, Chartitude | This report is for informational purposes only and does not constitute investment advice.